

CASHFLOW PROJECTION — 24 MONTHS

Sibusiso Mavuso — Mankayane EADF Feedlot Project
Total Investment: E930,000 | EADF Loan: E780,000 | Own Contribution: E150,000

Key Assumptions:

- Months 1-4: Construction and setup phase (no cattle sales revenue from new investment)
- Month 5: First batch of feedlot cattle purchased; breeding cattle purchased Month 3; feed machine operational Month 5
- Month 6: First sale of finished cattle from new investment
- Months 1-6: EADF Loan Grace Period (no repayment)
- Month 7+: Full operation — 10 cattle sold/month at £14,000 avg, own feed production, breeding herd calving from Year 2
- Feed cost assumes home-mixed @ £2.50/kg avg (50% savings vs commercial)
- Sale price: 10 cattle per batch cycle (~monthly) at £14,000 average per finished animal
- Weaner purchase: 10 at £6,500 each (reducing from Year 2 as breeding herd produces calves)
- Loan structured: Months 7-12: £15,000/mo, Months 13-24: £20,000/mo

YEAR 1 — Months 1 to 12

[illegible]

NET CASHFLOW													
Monthly Net Cashflow	793,000	(132,000)	(347,600)	(270,100)	(189,050)	40,650	27,250	28,050	28,850	28,850	28,850	28,850	65,600
Cumulative Cashflow	793,000	661,000	313,400	43,300	(145,750)	(105,100)	(77,850)	(49,800)	(20,950)	7,900	36,750	65,600	65,600

Year 1 Summary: Capital expenditure concentrated in Months 1-5. Revenue begins Month 6. Loan repayment starts Month 7. Cumulative cash turns positive by **Month 10**. Year 1 ends with **E65,600 cash surplus**.

YEAR 2 — Months 13 to 24

Item	M13	M14	M15	M16	M17	M18	M19	M20	M21	M22	M23	M24	Y2 Total
CASH INFLOWS													
Cattle Sales (10 × E14,000)	140,000	140,000	140,000	140,000	140,000	140,000	140,000	140,000	140,000	140,000	140,000	140,000	1,680,000
Feed Sales to Neighbours	3,200	3,200	3,200	4,800	4,800	4,800	4,800	4,800	4,800	4,800	4,800	4,800	52,600
TOTAL INFLOWS	143,200	143,200	143,200	144,800	144,800	144,800	144,800	144,800	144,800	144,800	144,800	144,800	1,732,600
CASH OUTFLOWS — OPERATING													
Purchase Weaners (9 × E6,500)*	58,500	58,500	58,500	58,500	58,500	58,500	58,500	58,500	58,500	58,500	58,500	58,500	702,000
Feed — Feedlot (home-mixed)	9,450	9,450	9,450	9,450	9,450	9,450	9,450	9,450	9,450	9,450	9,450	9,450	113,400
Feed — Roughage/Hay	4,800	4,800	4,800	4,800	4,800	4,800	4,800	4,800	4,800	4,800	4,800	4,800	57,600
Feed — Breeding Herd	1,500	1,500	1,500	1,500	1,500	1,500	1,500	1,500	1,500	1,500	1,500	1,500	18,000
Raw Materials (feed machine)	6,000	6,000	6,000	6,000	6,000	6,000	6,000	6,000	6,000	6,000	6,000	6,000	72,000
Veterinary & Medicines	3,500	3,500	3,500	3,500	3,500	3,500	3,500	3,500	3,500	3,500	3,500	3,500	42,000
Electricity	1,500	1,500	1,500	1,500	1,500	1,500	1,500	1,500	1,500	1,500	1,500	1,500	18,000
Transport	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000	24,000
Casual Labour (2 herders)	3,600	3,600	3,600	3,600	3,600	3,600	3,600	3,600	3,600	3,600	3,600	3,600	43,200
Miscellaneous & Utilities	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000	24,000
Subtotal Operating	92,850	92,850	92,850	92,850	92,850	92,850	92,850	92,850	92,850	92,850	92,850	92,850	1,114,200
LOAN REPAYMENT													
EADF Loan Repayment	20,000	20,000	20,000	20,000	20,000	20,000	20,000	20,000	20,000	20,000	20,000	20,000	240,000
TOTAL OUTFLOWS	112,850	112,850	112,850	112,850	112,850	112,850	112,850	112,850	112,850	112,850	112,850	112,850	1,354,200
NET CASHFLOW													
Monthly Net Cashflow	30,350	30,350	30,350	31,950	31,950	31,950	31,950	31,950	31,950	31,950	31,950	31,950	378,400
Cumulative Cashflow (from Y1)	95,950	126,300	156,650	188,600	220,550	252,500	284,450	316,400	348,350	380,300	412,250	444,000	444,000

* Year 2: Only 9 weaners purchased/month as breeding herd begins producing ~1 calf/month (8-9 calves/year).

Year 2 Summary: Full operation with no capital expenditure. Consistent monthly profit of **E30,000-E32,000**. Annual surplus of **E378,400**. Cumulative cash position at Month 24: **E444,000**.

TWO-YEAR SUMMARY

Item	Year 1 (E)		Year 2 (E)		Total (E)
Cattle Sales Revenue		980,000		1,680,000	2,660,000
Feed Sales Revenue		16,800		52,600	69,400
Total Revenue		996,800		1,732,600	2,729,400
Capital Expenditure		(830,000)		0	(830,000)
Operating Costs		(821,200)		(1,114,200)	(1,935,400)
Loan Repayment		(90,000)		(240,000)	(330,000)
Total Outflows		(1,741,200)		(1,354,200)	(3,095,400)
Net Cashflow (excl. initial funding)		65,600		378,400	444,000

LOAN REPAYMENT TRACKER (48 Months)

Period	Monthly (E)		Period Total (E)		Cumulative Repaid (E)	Remaining (E)
Months 1–6 (Grace)		0		0	0	780,000
Months 7–12		15,000		90,000	90,000	690,000
Months 13–24		20,000		240,000	330,000	450,000
Months 25–36		25,000		300,000	630,000	~150,000*
Months 37–48		30,000		300,000	~930,000*	0
Total Repaid					~E930,000	Loan Cleared

* Includes estimated interest (~E150,000 over 48 months at concessional EADF rate).

KEY FINANCIAL INDICATORS

Indicator	Value
Debt Service Coverage Ratio (Months 7–12)	2.7x (cash available E40,650 vs repayment E15,000)
Debt Service Coverage Ratio (Year 2)	2.6x (cash available E51,950 vs repayment E20,000)
Break-even cattle sales/month	7 cattle (covers all costs + loan repayment)
Safety margin	30% (3 cattle above break-even)
Feed machine monthly savings	E7,000-E11,000
Feed machine payback	9–14 months
Cumulative cash at Month 24	E444,000
Year 5 projected annual profit (loan-free)	E736,600

Conclusion: The cashflow demonstrates **strong ability to repay** the EADF loan. Even with conservative estimates, the business generates sufficient surplus from Month 6 onwards. The Debt Service Coverage Ratio exceeds 2.5x throughout, providing a comfortable safety margin. The loan is fully repaid by Month 48, after which all profit flows directly to the owner.